# Bharat Heavy Electricals Limited

BHEL | Industrials - Capital Goods | Large Cap

Latest fiscal year: 2024 | Peer set: Industrials (broad sector, 10 companies) | Generated: 2026-10-26

## 1. Snapshot

| | | | |
|---|---|---|---|
| **Rs 23,893 cr**<br>Sales | **Rs 282 cr**<br>Net profit | **1.2%**<br>Return on equity | **1.2%**<br>Net profit margin |
| **0.36x**<br>Debt-to-equity | **-4.7%**<br>Revenue CAGR | **29.8x**<br>P/E ratio | **Rs 540,054 cr**<br>Market cap |

## 2. Financial health score

**17.2**

**Grade E - Distressed**

out of 100 | data coverage 100%

Ranked 91 of 91 companies by score

| Pillar | Score (0-100) | Weight used | Points added |
|---|---|---|---|
| Profitability | 8 | 30.0% | 2.3 |
| Leverage | 59 | 25.0% | 14.9 |
| Growth | 0 | 25.0% | 0.0 |
| Cash quality | 0 | 20.0% | 0.0 |

### How the score is built

| Metric | Value | Points | Nominal weight | Weight used | Contribution | Note |
|---|---|---|---|---|---|---|
| Return on equity | 1.15% | 6 | 12 | 12.0% | 0.7 | Profit earned per rupee of shareholder capital; 20% or more earns full marks, 0% or less earns none. |
| Net profit margin | 1.18% | 6 | 9 | 9.0% | 0.5 | Share of sales kept as profit; 20% or more earns full marks. |
| Operating margin | 2.98% | 12 | 9 | 9.0% | 1.1 | Core operating profit as a share of sales; 25% or more earns full marks. |
| Debt-to-equity | 0.36x | 96 | 15 | 15.0% | 14.4 | Borrowings per rupee of net worth; 0.3x or lower earns full marks, 2.0x or higher earns none. |
| Interest coverage | 1.29x | 4 | 10 | 10.0% | 0.4 | Operating earnings relative to interest; 8x or more earns full marks, 1x or less earns none. |
| Revenue growth (CAGR) | -4.73% | 0 | 12.5 | 12.5% | 0.0 | Compound annual sales growth over up to 5 years; 15% or more earns full marks. |
| Profit growth (CAGR) | -22.40% | 0 | 12.5 | 12.5% | 0.0 | Compound annual net-profit growth over up to 5 years; 20% or more earns full marks. |
| Cash conversion (CFO / PAT) | -13.17x | 0 | 20 | 20.0% | 0.0 | Operating cash flow per rupee of reported profit; 1.0x or more earns full marks, 0.3x or less earns none. |
| Total | | | 100 | 100% | 17.2 | Sum of the contributions above. |

### Strengths

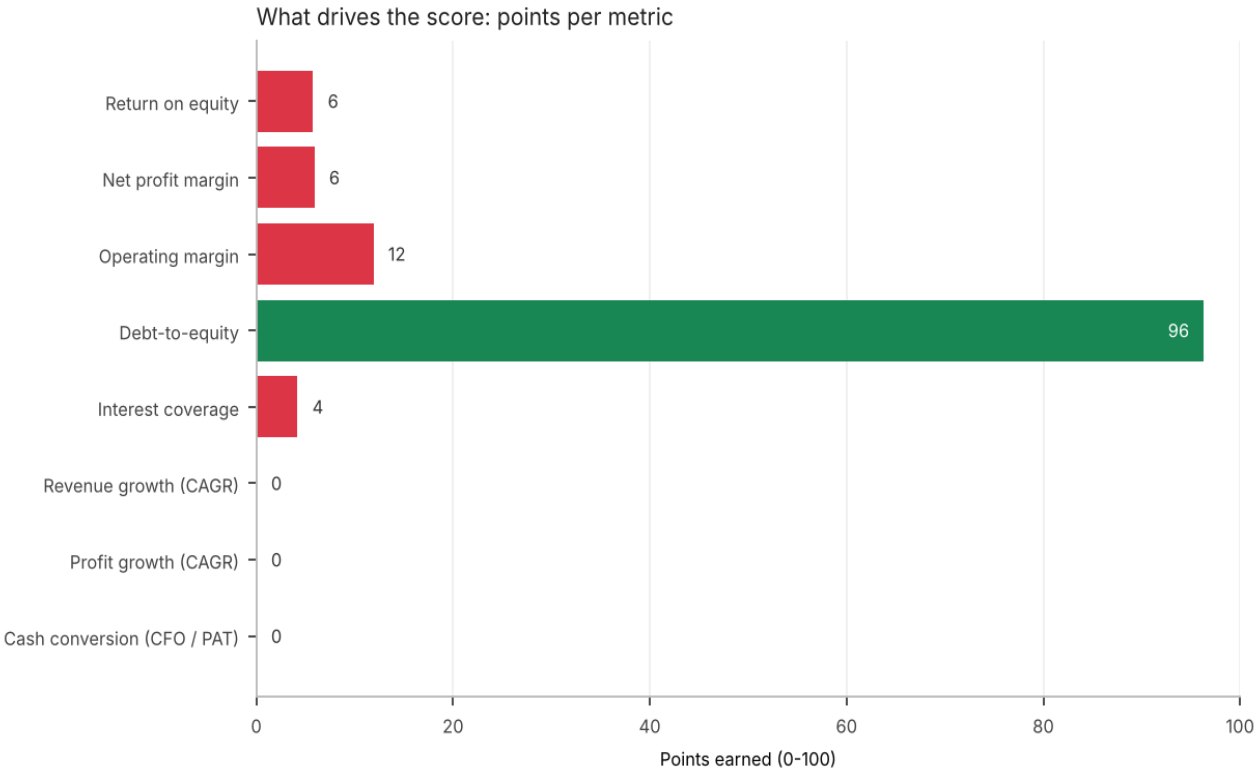
- Debt-to-equity: 0.36x (96/100 points)

### Concerns

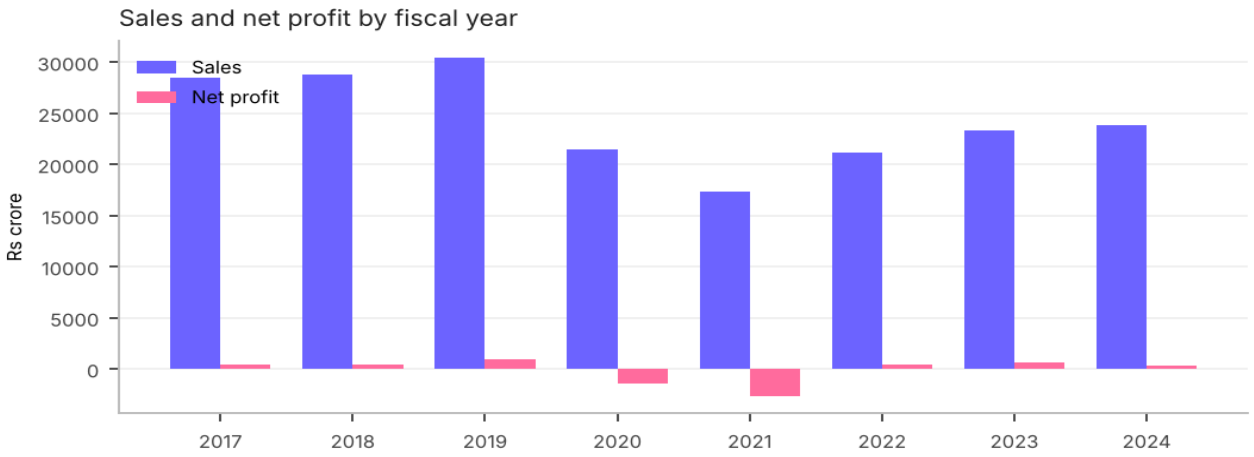
- Profit growth (CAGR): -22.40% (0/100 points)
- Cash conversion (CFO / PAT): -13.17x (0/100 points)
- Revenue growth (CAGR): -4.73% (0/100 points)



Analytical summary of reported figures from the project database. Not investment advice; it does not predict prices.




## 3. Sales and profit trend




## 4. Peer benchmarking

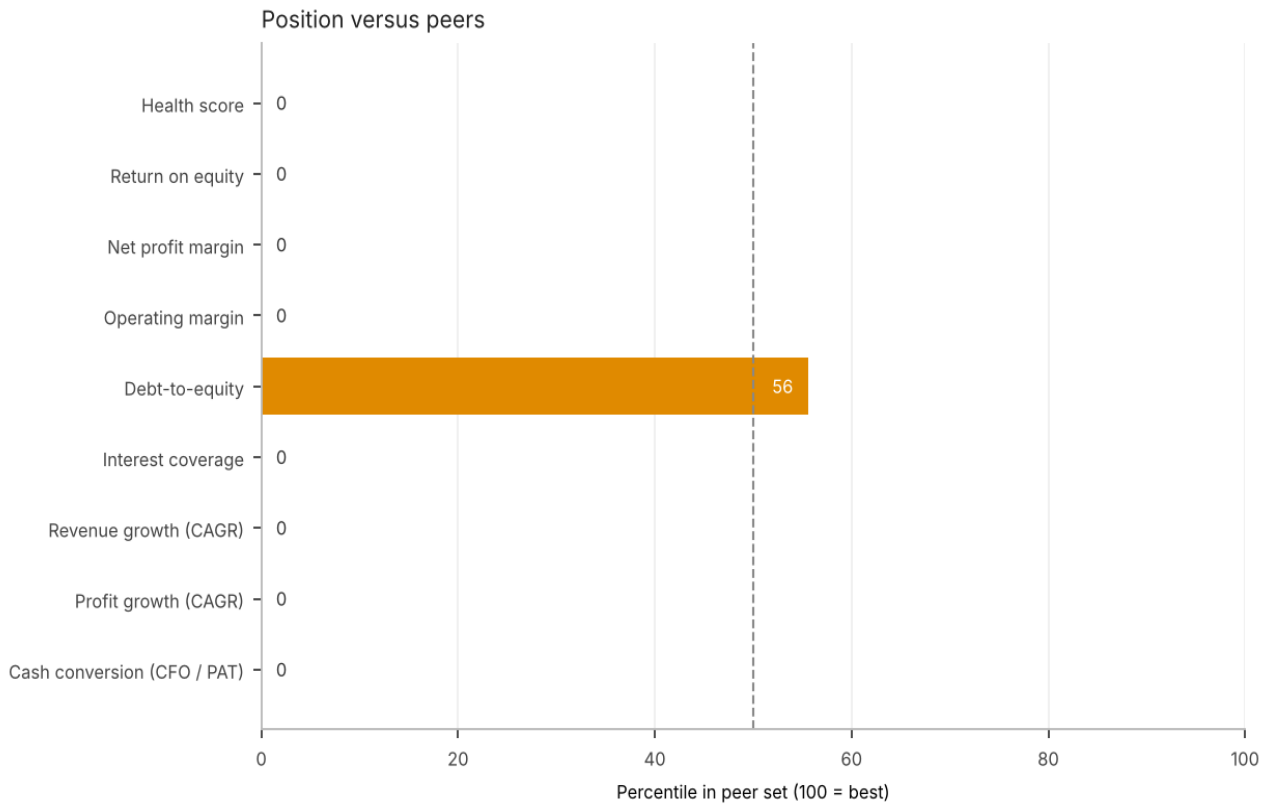
Compared with 9 peers in the broad sector 'Industrials': ABB, ADANIENT, ADANIPORTS, BEL, GRASIM, HAL, HAVELLS, LT, SIEMENS.

| Metric | Company | Peer median | Difference | Percentile | Rank | Verdict |
|---|---|---|---|---|---|---|
| Health score | 17.20 | 79.10 | -61.90 | 0 | 10 of 10 | Below peers |
| Return on equity | 1.15% | 17.07% | -15.91% | 0 | 8 of 8 | Below peers |
| Net profit margin | 1.18% | 12.22% | -11.04% | 0 | 10 of 10 | Below peers |
| Operating margin | 2.98% | 20.76% | -17.79% | 0 | 10 of 10 | Below peers |
| Debt-to-equity | 0.36x | 0.51x | -0.15x | 56 | 5 of 10 | In line |
| Interest coverage | 1.29x | 21.32x | -20.03x | 0 | 10 of 10 | Below peers |
| Revenue growth (CAGR) | -4.73% | 11.15% | -15.88% | 0 | 10 of 10 | Below peers |
| Profit growth (CAGR) | -22.40% | 19.85% | -42.25% | 0 | 10 of 10 | Below peers |


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| Metric | Company | Peer median | Difference | Percentile | Rank | Verdict |
|---|---|---|---|---|---|---|
| Cash conversion (CFO / PAT) | -13.17x | 1.17x | -14.34x | 0 | 10 of 10 | Below peers |
| P/E ratio | 29.80x | 48.90x | -19.10x | n/a | - | Valuation multiple: shown for context, not ranked. |

Percentile = share of other peers the company beats (100 = best; for debt-to-equity lower is better). P/E is shown for context and is not ranked.




## 5. Data-quality warnings

Data reliability: **Medium** (0 errors, 1 warnings in the most recent 3 fiscal years and any undated checks). Rating rules: Low = at least one error, Medium = at least one warning, High = none.

- [WARNING] balancesheet: 1 row(s) (Sep 2024) do not fall on the company's fiscal year-end month (Mar); treated as part-year data and excluded from annual analytics

## 6. Methodology

All figures are taken from the latest full fiscal year in the project database (db/nifty100.db). Half-year rows, TTM rows and rows with malformed period labels are excluded; duplicate rows describing the same fiscal year are collapsed.

### Indicator formulas

| Indicator | Formula |
|---|---|
| Return on equity | net profit / (equity capital + reserves) x 100 |
| Net profit margin | net profit / sales x 100 |
| Operating margin | operating profit / sales x 100 |
| Debt-to-equity | borrowings / (equity capital + reserves) |
| Interest coverage | (profit before tax + interest) / interest |
| Revenue / profit CAGR | (end / start)^(1 / years) - 1 over up to 5 years (minimum 3); profit CAGR only when both ends are positive |
| Cash conversion | cash from operations / net profit (only when profit is positive) |

### Scoring thresholds and weights


Analytical summary of reported figures from the project database. Not investment advice; it does not predict prices.

| Pillar | Metric | 0 points at | 100 points at | Weight |
|---|---|---|---|---|
| Profitability | Return on equity | 0% | 20% | 12 |
| Profitability | Net profit margin | 0% | 20% | 9 |
| Profitability | Operating margin | 0% | 25% | 9 |
| Leverage | Debt-to-equity | 2x | 0.3x | 15 |
| Leverage | Interest coverage | 1x | 8x | 10 |
| Growth | Revenue growth (CAGR) | 0% | 15% | 12.5 |
| Growth | Profit growth (CAGR) | 0% | 20% | 12.5 |
| Cash quality | Cash conversion (CFO / PAT) | 0.3x | 1x | 20 |

- Points between the two thresholds are interpolated in a straight line and clipped to 0-100. Grades: A (75+, Strong), B (60+, Healthy), C (45+, Moderate), D (30+, Weak), E (0+, Distressed).
- A missing metric, or one excluded because the computed value is outside a plausible range (a sign of bad source data), is dropped and the remaining weights are re-scaled to 100. If less than 50% of the applicable weight has data, the score is withheld.
- Banks, NBFCs and insurers are not scored on leverage, interest coverage, operating margin or cash conversion, because those ratios are not comparable with industrial companies. Their score rests on fewer metrics, so compare them with their own peer group.
- Peer set: the curated peer group from the database if it has at least 3 members, otherwise the broad sector. Percentile is the share of the other peers the company beats, with ties counted half; interest coverage is capped at 100x for ranking.
- Data reliability is derived from the data-quality monitor: missing values, duplicate periods, inconsistent period labels and implausible metrics.
- Analytical summary of reported figures from the project database. Not investment advice; it does not predict prices.


Analytical summary of reported figures from the project database. Not investment advice; it does not predict prices.